



Qualification Programme Examination Panelist's Report

Module 6 – Financial Accounting (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 15 multiple choice questions which tested the candidates' knowledge in relation to the following topics:

- Q1 HKAS 21 *The Effects of Changes in Foreign Exchange Rates*
- Q2 HKAS 12 *Income Taxes*
- Q3 HKICPA *Conceptual Framework for Financial Reporting 2010*
- Q4 HKAS 10 *Events After the Reporting Period*
- Q5 HKAS 38 *Intangible Assets*
- Q6 HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*
- Q7 HKAS 33 *Earnings per Share*
- Q8 HKFRS 13 *Fair Value Measurement*
- Q9 HKAS 16 *Property, Plant and Equipment*
- Q10 HKAS 24 *Related Party Disclosures*
- Q11 HKAS 36 *Impairment of Assets*
- Q12 HKFRS 9 *Financial Instruments*
- Q13 HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*
- Q14 HKAS 7 *Statement of Cash Flows*
- Q15 HKFRS 15 *Revenue from Contracts with Customers*

Questions 1 to 10 covered simpler concepts/ computations and were worth 1 mark each. Questions 11 to 15 covered more complicated concepts/ computations and were worth 2 marks each.

The wide range of topics in the syllabus seems to be a source of difficulty for candidates. Candidates were weak in some of the topics as they might not have had adequate coverage and knowledge of all topics in the syllabus when they prepared for the examination.



Specific Comments

Candidates showed weaknesses in the following topics:

- HKAS 12 *Income Taxes*
- HKICPA *Conceptual Framework for Financial Reporting 2010*
- HKAS 10 *Events After the Reporting Period*
- HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*
- HKFRS 15 *Revenue from Contracts with Customers*

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their knowledge as well as their ability to apply appropriate accounting treatments to specific financial reporting situations.

Candidates performed relatively better in the preparation of individual financial statements. However, they were rather weak in doing consolidation.

It appears that many candidates did not have a good understanding of the accounting standards, and they had difficulties in applying relevant requirements to the context.

In general, performance in this section was unsatisfactory.

Specific Comments

Question 1(a) – 12 Marks

This question required candidates to prepare a consolidated statement of profit or loss and other comprehensive income for a simple business group.

Performance was unsatisfactory. Although this was a typical consolidation question involving a parent company, a subsidiary, and an associate company, candidates had difficulties in tackling the (1) elimination of unrealized profit in intra-group inventory transfer; (2) computation of share of profit or loss with non-controlling interests and; (3) computation of share of profit or loss from the associate.

Question 1(b) – 8 Marks

This question required candidates to compute the carrying amounts of investment in the subsidiary, investment in the associate, goodwill, and non-controlling interests in the consolidated statement of financial position.



Performance was unsatisfactory. Even though the question was straightforward, many candidates were not able to calculate the correct carrying amounts of these important items. In particular, it is surprising that many candidates were not aware of the full elimination of investment in subsidiary on consolidation (i.e. the investment in the subsidiary account must have a zero balance on the consolidated statement of financial position).

Question 1(c) – 5 Marks

This question required candidates to explain how non-controlling interests are measured and presented on the consolidated financial statements.

Performance was unsatisfactory. While some candidates answered correctly that non-controlling interests are either measured at fair value or at a proportionate share of identifiable net assets, very few candidates could explain that the difference in the measurement depends on whether or not the non-controlling shareholders are entitled to a proportionate share of the subsidiary's net assets in the event of liquidation.

Many candidates also did not realise that non-controlling interest is to be presented in equity as a separate line item in the consolidated statement of financial position.

Question 2(a) – 15 Marks

This question required candidates to prepare a statement of profit or loss and other comprehensive income and a statement of financial position, with the provision of an unadjusted trial balance and specific additional information for adjustments.

Performance was fair. Most candidates were unable to classify the redeemable preference shares as a financial liability and account for the corresponding dividends as a finance cost. A number of candidates incorrectly took the cost of goods manufactured figure in the trial balance as the cost of sales amount. Many other candidates were not able to adjust the closing inventory with the appropriate amount of inventory written-off, so they could not arrive at the correct answer for cost of sales either.

Question 2(b) – 5 Marks

This question required candidates to explain how the accounting treatments of the legal litigation and the redeemable preference shares could demonstrate the fundamental qualitative characteristics in the HKICPA *Conceptual Framework for Financial Reporting 2010*.

Performance was unsatisfactory. While some candidates were able to point out the two qualitative characteristics (relevance and faithful representation), many candidates failed to explain the correct accounting treatments of the two cases (particularly the redeemable preference shares) and link them to the appropriate qualitative characteristics.



Question 3(a) – 4 Marks

This question required candidates to apply the appropriate accounting treatment for a change in accounting estimate.

Performance was unsatisfactory. Some candidates recognised that a change in the useful life/ residual value of the machinery is a change in the accounting estimate. However, many candidates were not able to calculate the revised depreciation correctly, and they failed to explain the prospective accounting treatment for such a change.

Question 3(b) – 6 Marks

This question required candidates to apply the appropriate accounting treatment for a change in accounting policy and to show the financial effects by preparation of an extract of the statement of changes in equity.

Performance was unsatisfactory. Some candidates recognised that a change in the inventory valuation method is a change in the accounting policy. However, many candidates failed to explain the retrospective accounting treatment for such a change, and most candidates were unable to provide a proper extract of statement of changes in equity. In particular, they did not consider tax effects when revising profit or loss items.

Question 4(a) – 6 Marks

This question required candidates to determine whether the agreement in question contained a lease.

Performance was unsatisfactory. While candidates in general realized that there existed a lease, many of them were not able to evaluate and explain in accordance with the conditions as set out in HKFRS 16 *Leases*. For example, most candidates did not evaluate whether the supplier's asset substitution right is substantive or not in the agreement.

Question 4(b) – 3 Marks

This question required candidates to justify whether it is correct or not in expensing lease payments by the lessee in question.

Performance was unsatisfactory. Some candidates were able to specify that expensing lease payments is wrong in this case; however, most candidates could not provide appropriate justifications. In particular, candidates were not aware that recognition exemption can be applied to either short-term leases or leases for which the underlying asset is of low value. For these leases, the lessee can opt to not recognize right-of-use assets and lease liabilities but to expense the lease payments to profit or loss, although such recognition exemption cannot apply to the lease in question.



Question 4(c) – 11 Marks

This question required candidates to prepare journal entries for the lessee to record the lease.

Performance was less than satisfactory. In general, candidates were able to demonstrate their understanding of lessee accounting by recognition of right-of-use asset and lease liability, inclusion of initial direct costs in the right-of-use asset, depreciation of right-of-use asset, and interest unwinding of lease liability in subsequent measurement. However, most candidates did not realise that they should adjust the lease payments based on the Consumer Price Index in the years of 2021 and 2022.

Question 5 – 5 Marks

This question required candidates to identify the performance obligations in a contract (including both goods and services) with customers in accordance with HKFRS 15 *Revenues from Contracts with Customers*.

Performance was unsatisfactory. Only a few candidates showed that they understood how to apply the criteria of “distinct” to identify performance obligations in a contract with customers, while many others wrote irrelevant answers.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was unsatisfactory, particularly in the written questions in Section B.

Candidates are advised to revisit the fundamental requirements of financial reporting standards that are commonly used in practice on top of those that have become effective in recent years.

Candidates are reminded to provide workings on calculations as partial marks may be given to correct workings even if the final answer is wrong.

Candidates are reminded to make a reasonable attempt to answer every part of the questions.